



THE COVERAGE DECODER

Your declarations page, line by line.

Personal and commercial auto, explained by a licensed claims adjuster.

Start here

You bought a price, not a policy.

Almost nobody chooses their auto coverage. They choose a monthly number, and the coverage is whatever came attached to it. That works fine until the day it doesn't.

This guide walks the declarations page — the one- or two-page summary your carrier sends you every renewal — line by line. By the end you will be able to open yours and know what each line does, what it doesn't, and which ones you're missing.

It takes about twenty minutes to read and about ten to check your own policy afterward. The checklist on the last page is built for that.

How to use it

Find your declarations page first. It arrives by email or mail at every renewal, and it's in your carrier's app under documents. It is not the policy itself — the policy is the long booklet. The declarations page is the summary with your name, your vehicles, and a list of coverages with dollar amounts next to them.

Keep it open beside this. Every part below matches a line you will find on it.

Part 1 · The three jobs a policy does

Every coverage on your declarations page does one of three jobs. Once you see which job a line belongs to, the whole page stops being confusing.

Protects other people If you cause a crash, these pay for the harm you did to someone else. Liability coverage. This is the part the state makes you carry.

Protects you and your passengers Medical bills and, in some states, lost wages — often regardless of who caused it. PIP, medical payments, uninsured and underinsured motorist.

Protects your vehicle Repairs or replaces your own car. Comprehensive and collision. This is where deductibles live, and only here.

A coverage that isn't listed with a limit next to it is a coverage you do not have. There is no default, and nothing is included automatically.

Part 2 · Liability

The part that protects everyone else from you

BI Bodily Injury Liability

Pays for injuries you cause to other people. Their medical treatment, and depending on the claim, other losses the law allows them to recover from you.

It does not pay for your own injuries. Not ever. That surprises people every day.

PD Property Damage Liability

Pays for what you damage that belongs to someone else. Usually their vehicle, but also a fence, a storefront, a light pole.

The three numbers

Liability is normally written as three numbers, like 25/50/25. Sometimes the page shows them in thousands, sometimes in full.

First number	The most the policy pays for any one injured person.
Second number	The most it pays for everyone injured in the same accident, combined. If three people are hurt, they share this.
Third number	The most it pays for the other party's property.

The third number is the one that catches people. A new vehicle can pass a \$25,000 property limit without much trouble — and above the limit, the difference is not the carrier's problem. It's yours.

Some policies use a single combined limit instead: one number for the whole accident, injuries and property together. Commercial policies are usually written this way.

No deductible here

Liability coverage has no deductible. If you cause a crash, you do not pay a deductible toward the other driver's car. Deductibles belong to a different job entirely — see Part 4.

Part 3 - The coverages that pay you

PIP

Personal Injury Protection

Pays medical bills for you and your passengers regardless of who caused the crash, and in many states also a portion of lost wages and certain services while you recover.

Required in some states, optional in others, unavailable in the rest. Your state decides whether this line exists on your page at all.

MedPay

Medical Payments

Also pays medical bills regardless of fault, but narrower: medical only, usually with a smaller limit. In states without PIP, this is often the closest equivalent offered.

PIP and MedPay are not the same coverage, and having one does not mean you have the other. Check which one is on your page, and for how much.

UM/UIM

Uninsured and Underinsured Motorist

Pays when the driver who hit you cannot. Uninsured motorist applies when they have no policy at all. Underinsured applies when they have one, but their limit is smaller than what your injuries cost.

The second case is far more common than people expect. Plenty of drivers carry exactly the minimum their state requires and nothing more — and that minimum was set decades ago in many states.

This is often one of the least expensive lines on the policy, and it is usually the first one people drop when they want the premium lower. It is the coverage that protects you from a decision someone else made.

Part 4 - The coverages for your own car

COLL

Collision

Pays to repair or replace your vehicle when it hits something or something hits it. It applies even when the crash was your fault — that is the entire point of it.

COMP

Comprehensive

Sometimes printed as 'Other Than Collision'. Pays for what happens to your car without a crash: theft, fire, flood, hail, falling objects, vandalism, glass, and animal strikes.

Hit a deer, that's comprehensive. Hit a tree, that's collision. Same car, same damage, two different coverages with two different deductibles.

The deductible

The deductible is what you pay before these two coverages pay anything. It appears next to each one, and the two numbers do not have to match.

Almost nobody chooses a deductible on its own terms. They choose a lower premium, and the deductible is what they gave up in exchange. The savings arrive a little each month; the cost arrives all at once, on a day you did not plan for.

It only applies here

Comprehensive and collision. Never liability.

You can often get it back

If another driver was at fault and their carrier pays, your carrier may recover your deductible through subrogation. Ask.

Both numbers matter

A low collision deductible with a high comprehensive one is a common and unintentional combination. Look at both.

Part 5 - The lines people skip

RENT

Rental Reimbursement

Pays for a rental car while yours is being repaired under a covered claim. It has a daily cap and a total cap — commonly something like thirty dollars a day up to nine hundred. If the shop takes longer than that, or the rental costs more per day, the gap is yours.

Rental reimbursement is not loss of use

Loss of use is what the at-fault driver's carrier owes you for being without your vehicle. It is a different thing, owed by a different party, and it exists whether or not you bought rental reimbursement.

Which one applies depends on who caused the crash. Ask before you drive off the rental lot, not after — this is one of the most common surprise bills in the whole process.

GAP

Loan or Lease Payoff

If your car is totaled, the policy pays what the car was worth — not what you still owe on it. On a newer financed vehicle those two numbers can be far apart. Gap coverage is what closes the difference.

TOW

Towing and Labor

Small, inexpensive, and easy to forget you have. Check whether it duplicates a roadside service you already pay for elsewhere.

Part 6 · "Full coverage" is not a coverage

It's a phrase. And it's why you think you have things you never bought.

No policy says 'full coverage'. The words are not on your declarations page, they are not in the policy booklet, and nobody at a carrier uses them internally. It is a shorthand people picked up somewhere, and it does real damage, because it makes buyers stop asking what is actually on the page.

When people say it, they usually mean liability plus comprehensive plus collision. Notice what that leaves out:

- Uninsured and underinsured motorist — the coverage for when the other driver has nothing.
- PIP or medical payments — the coverage that pays your medical bills quickly.
- Rental reimbursement — the coverage for being without a car for three weeks.
- Gap — the coverage for owing more than the car was worth.

Every one of those is a separate line, bought separately, priced separately. If it isn't listed with a limit, you don't have it.

Part 7 - Commercial is a different animal

If you own a business that uses vehicles — even one vehicle, even occasionally — a personal policy may not be the right instrument, and in some situations it will not respond at all.

SYM

Covered Autos Symbols

Every commercial auto policy carries a set of single digits that decide which vehicles the policy even applies to. They sit next to each coverage on the declarations page, and most owners have never looked at them.

Symbol 1	Any auto. The broadest: owned, hired, borrowed, all of it.
Symbol 7	Only the specific vehicles listed on the schedule. Buy a truck and forget to add it, and it is not covered.
Symbol 8	Hired autos — vehicles you rent or lease for the business.
Symbol 9	Non-owned autos — for example, an employee's own car used on a company errand.

A business on symbol 7 that sends an employee out in their own vehicle has a gap it does not know about. Symbols 8 and 9 are what close it.

Other differences worth knowing

Higher limits	Commercial policies typically carry a combined single limit rather than split limits, and the numbers are in a different range entirely.
No PIP, usually	Employees injured on the job are generally a workers' compensation question, not an auto question.

**Business use
exclusions**

Personal policies commonly exclude business use. That exclusion is what Part 8 is about.

Part 8 - The gaps that surprise people

These are the situations where someone believed they were covered, and the wording says otherwise. None of them are obscure — they are ordinary things people do every day.

Driving for a delivery or rideshare app

The day splits into periods, and they are not covered the same way. With the app on and no job assigned, a personal policy commonly excludes, and the platform's own coverage is at its thinnest. Once a job is accepted the platform coverage generally steps up.

Most carriers sell an endorsement that closes this, often for a few dollars a month. Ask for it by name and tell your agent you drive for an app.

Renting your vehicle out on a car-sharing platform

Personal policies commonly carry two exclusions that both apply here: one for vehicles rented to others, and one for any use of the vehicle for a fee. Listing the car can put it outside the policy for the whole rental period, and sometimes beyond.

The platform's own plan covers what its terms say it covers, for the period it says, and no more. On the highest-earning tier of these platforms, the owner absorbs physical damage to their own vehicle.

Using your personal vehicle for your own business

A contractor driving to a job site, a caterer delivering an order, a stylist visiting a client. Whether the personal policy responds depends on the wording and on how the use is characterized. This is worth a direct conversation with your agent before you need it.

Someone else driving your car

Coverage generally follows the vehicle rather than the driver, but there are exceptions — excluded drivers named on the policy, household members who were never listed, and permission questions. If someone drives your car regularly, they should be on the policy.

The ten-minute check

Open your declarations page and work down this list. Anything you cannot answer is a question for your agent, and every one of them is a reasonable question to ask.

- ☐ I can find my declarations page and I know it is the current one.
- ☐ I know my three liability numbers, and I have looked at the third one.
- ☐ I know whether I have PIP, medical payments, or neither.
- ☐ I have uninsured and underinsured motorist, and I know the limit.
- ☐ I have comprehensive and I know its deductible.
- ☐ I have collision and I know its deductible — they are not always the same.
- ☐ I know whether I have rental reimbursement, and what its daily and total caps are.
- ☐ If my car is financed, I know whether I have gap coverage.
- ☐ If I drive for an app, I have asked about the endorsement for it.
- ☐ If I use the vehicle for a business, I have told my carrier.
- ☐ Everyone who drives my car regularly is listed on the policy.

If a line on this list is not on your declarations page, you do not have that coverage. That may be the right choice for you — but it should be a choice, not a surprise.

One last thing

You bought a price, not a policy.

The point of all of this is not that you should buy more coverage. Plenty of people are carrying coverage they don't need, and cutting it is a reasonable decision when it is made on purpose.

The point is that it should be a decision. Right now, for most drivers, it isn't one — it is whatever was attached to the number they agreed to on the phone three years ago.

You now know more about what is on that page than most people who have been paying for it their whole adult lives. Go look at yours.

Important

Educational only. This is not legal advice and it is not insurance advice, and it does not create a professional relationship between you and the author. Coverage depends on the exact wording of your policy, its endorsements, your carrier and your state — a general explanation cannot tell you what your policy covers. Read your own policy and speak with your agent, your carrier, or a licensed professional in your state about your own situation. Views are the author's own and not those of any employer or carrier.

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